

THE IMPORT BURDEN

56.3%
ON EDIBLE OILS
IN FY24

18.5%
ON PULSES IN FY24,
UP FROM 10.4% IN
FY23

68.6%
ON FERTILISERS IN
THE VALUE CHAIN
IN FY25



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DOUBLE WHAMMY Farmers are facing growing distress due to fertiliser shortages and rising diesel prices

the Green Revolution of the mid-1960s, the geopolitical conflict has brought to fore the policy distortions and practices that have crept in over time.

The repercussions are already evident. As of May 23, the year-on-year wholesale prices of edible oils are up by 4.5-14.7%, while that of pulses showed mixed trends. Urea prices have doubled, while sugar exports have been banned despite India being the world's second largest producer and exporter.

The agriculture minister says fertilisers are “not easily available in international markets”, although he assured sufficient stocks are available for the Kharif season. The fertiliser subsidy is up by ₹41,000 crore for FY27 (from ₹1.71 lakh crore estimated earlier) and more is expected. Meanwhile, farmers are facing growing distress due to fertiliser shortages and rising diesel prices. Also, the prospect of El Niño threatens to accentuate the stress.

SELF-RELIANCE TO IMPORT DEPENDENCE

Official data show that India produced 97% edible oil requirements in 1992-93 and 98% of its pulse consumption in 1980-81. But by FY24, the last fiscal for which official data are available, import dependence went up to 56.26% for edible oils and 18.5% for pulses. Today, more than half of India's edible oil requirement, along with a significant share of pulses and fertiliser inputs, comes from overseas.